Economics H Review Practice Answer Key

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Range: (Everything learned this semester)

Note: (Review Guide/Review Practices/Practice Set) are UNOFFICIAL sources of reference and do NOT include or hint at questions in the actual exam!

I. MCQ

1. D
2. D
3. C
4. B
5. B
6. D
7. C
8. C
9. C
10. C
11. D
12. C
13. B
14. C
15. B
16. C
17. C
18. A
19. C
20. B

II. FRQ

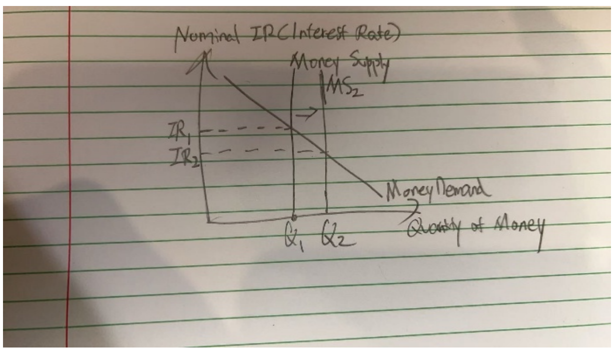
1.

(a). 0.2 (20%)

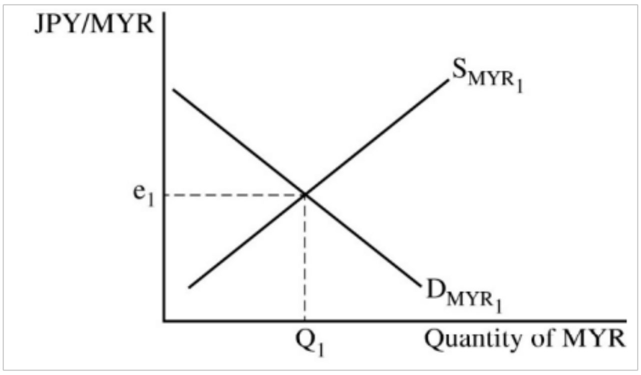
(b) (i). increase by $5000

(ii). Zero

(c) the price of bonds will increase because the purchase of bonds increases the money supply, which decreases the interest rate.



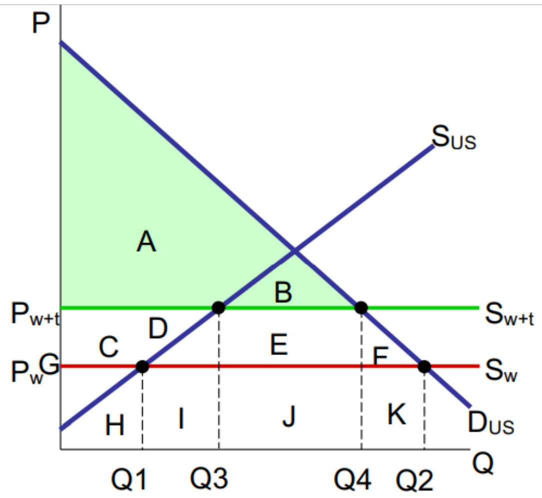
2.
(a) State an increase in government spending, a decrease in taxes, or an increase in transfer payments
(b) State that the real interest rate will increase and explain that government borrowing will increase, which will increase the demand for loanable funds (or decrease the supply of loanable funds).
(c) Draw a correctly labeled graph of the foreign exchange market for the ringgit.



(d) State that Malaysia's imports will increase and explain that the appreciation of the ringgit will make Japanese goods relatively less expensive than they were before.

III. Case study

(a) Tariff: a tax on imports
(b) Tariff will increase the prices of import goods, which worsens inflation in US. Inflation will increase the cost of living that households, or consumers, will lose purchasing power when the prices of items they buy, such as food, utilities, and gasoline, increase. Companies will lose purchasing power, when prices increase for inputs used in production,
such as raw materials like coal and crude oil, intermediate products such as flour and steel, and finished machinery. In response, companies typically raise the prices of their products or services to offset inflation, meaning consumers absorb these price increases. → cost-push inflation
(c)



Stakeholders	Without tariff	With tariff
US consumers	CS = a+b+c+d+d+f	higher prices, fewer choices CS = a+b
US producers	PS = g	sell more at higher prices PS = g+c
US government	Not involved	Tariff revenue = e
Chinese producers	Export revenue = i+j+k	Export revenue = j
The society as a whole	Efficient	DWL = d +f

(d) Arguments for and against protectionism:

<u>For protectionism:</u>

- Free trade destroys jobs in US industries that compete with imports. Tariffs will protect the domestic producers and keep the jobs for US people.
- An industry, e.g. high-tech sectors, vital to national security should be protected from foreign competition, to prevent dependence on imports that could be disrupted during wartime.
- A new industry argues for temporary protection until it is mature and can compete with foreign firms.
- Producers argue their competitors in another country have an unfair advantage, e.g. due to government subsidies.
- Gain government revenue

<u>Against protectionism:</u>

- Free trade will increase economic growth:
  The U.S. International Trade Commission estimated that NAFTA could increase U.S. economic growth by 0.1%-0.5% a year.
- More dynamic business climate:
  Without free trade agreements, countries often protected their domestic industries and businesses. Tariffs and other protection often made them stagnant and noncompetitive on the global market. With the protection removed, they became motivated to become true global competitors.
- Lower government spending
  Many governments subsidize local industries. After the trade agreement removes

subsidies, those funds can be put to better use.

- Technology transfer:
  Local companies also receive access to the latest technologies from their multinational partners. As local economies grow, so do job opportunities. Multinational companies provide job training to local employees.
- Hurt domestic consumers and manufacturers who use imported goods as raw Material
- May arouse trade war and retaliation